cost-free so far for the non-Chinese BRICS to support RMB internationalization. As the RMB becomes more internationalized, and more widely used, China's fellow BRICS, which lack influence over global currency markets, may look more carefully at whether their own national interests are served by a rising RMB, even if mainly for regional transactions. Unequivocal embrace of the goal of RMB internationalization by the principal Chinese actors—which has not yet occurred—would appear to be a prerequisite for joint BRICS actions to have any impact on global currency outcomes. The significant August 2015 RMB devaluation, which took traders by surprise, demonstrates the difficult choice that Chinese authorities face in stabilizing their currency, which is also likely to be a requirement for successful currency internationalization.[172] Nonetheless, the direction of a shift in global currency power seems inevitable: the RMB is becoming more important, and the other BRICS will try to benefit from its rise.

FUTURE DIRECTIONS AND COOPERATIVE OPPORTUNITIES NOT TAKEN

In the cases discussed here, as well as other cases not examined in this chapter, the BRICS have found focal points to consider future collaboration. In other cases, they either collectively remained neutral or acted separately. To take one example of the latter, the BRICS never developed a collective position in the financial regulatory discussions of the newly established FSB or in the Basel Committee on Banking Supervision (BCBS), to which Brazil, China, India, and Russia were admitted at the time of the March 2009 expansion.[173] There is also no sign of either resistance to or collective support by the BRICS with respect to the Sovereign Debt Restructuring Mechanism (SDRM) being discussed at the IMF.[174] However, the BRICS have converged on broadly similar responses to the Basel III accord on banking regulations: commercial banks in China, Brazil, and Russia each now hold capital greater than the Basel rules require.[175] More contentious is Beijing's recent proposal for a "BRICS FTA" (free trade agreement) to boost trade. India's trade deficit in goods with China soared from $1.1 billion in 2003–2004 to $52.7 billion in 2015–2016. Although in 2014, both Brazil ($16.7 billion) and South Africa ($28.9 billion) ran trade surpluses with China, all three of the democratic BRICS worry about their future trade balances with China (see Chapter 4). In the near term, the BRICS are more likely to confine themselves to more modest framework agreements on matters related to small and medium-sized enterprises, the service sector and